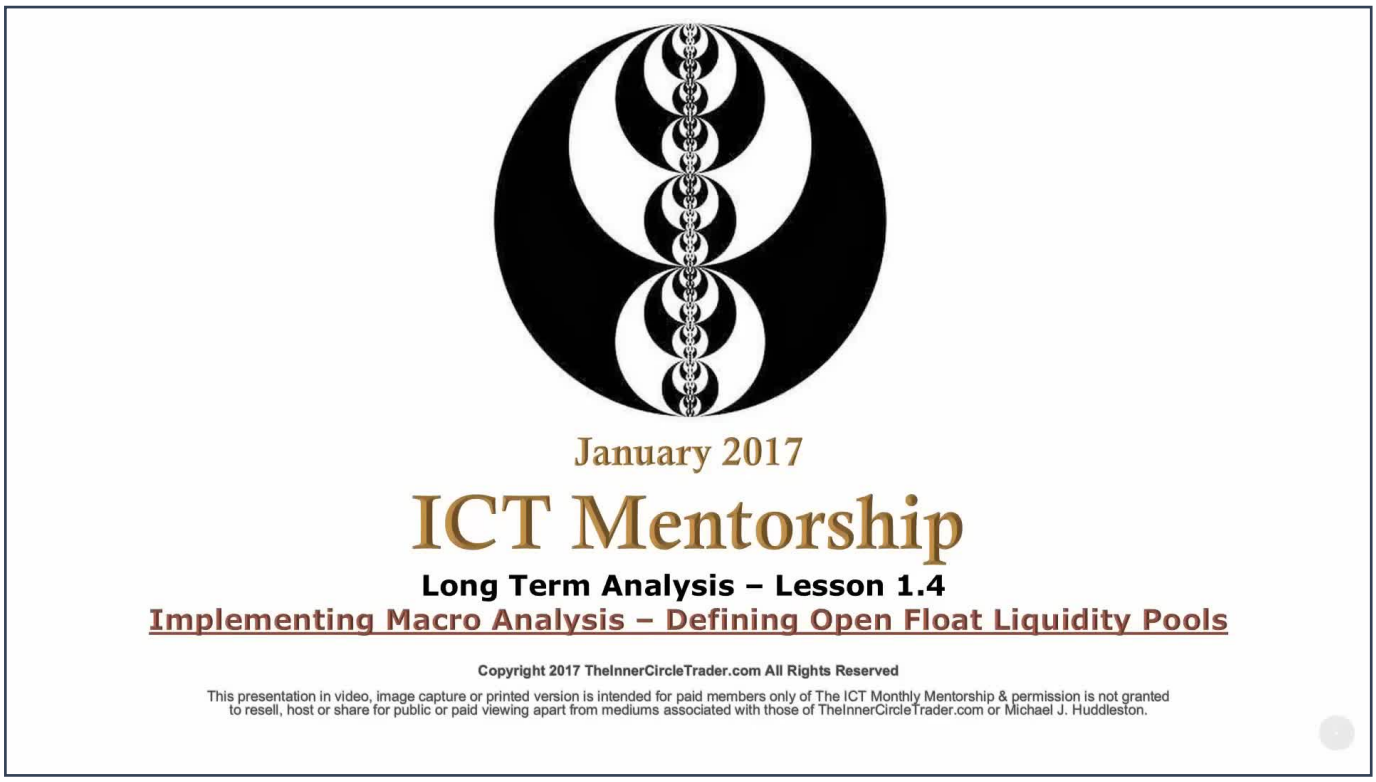
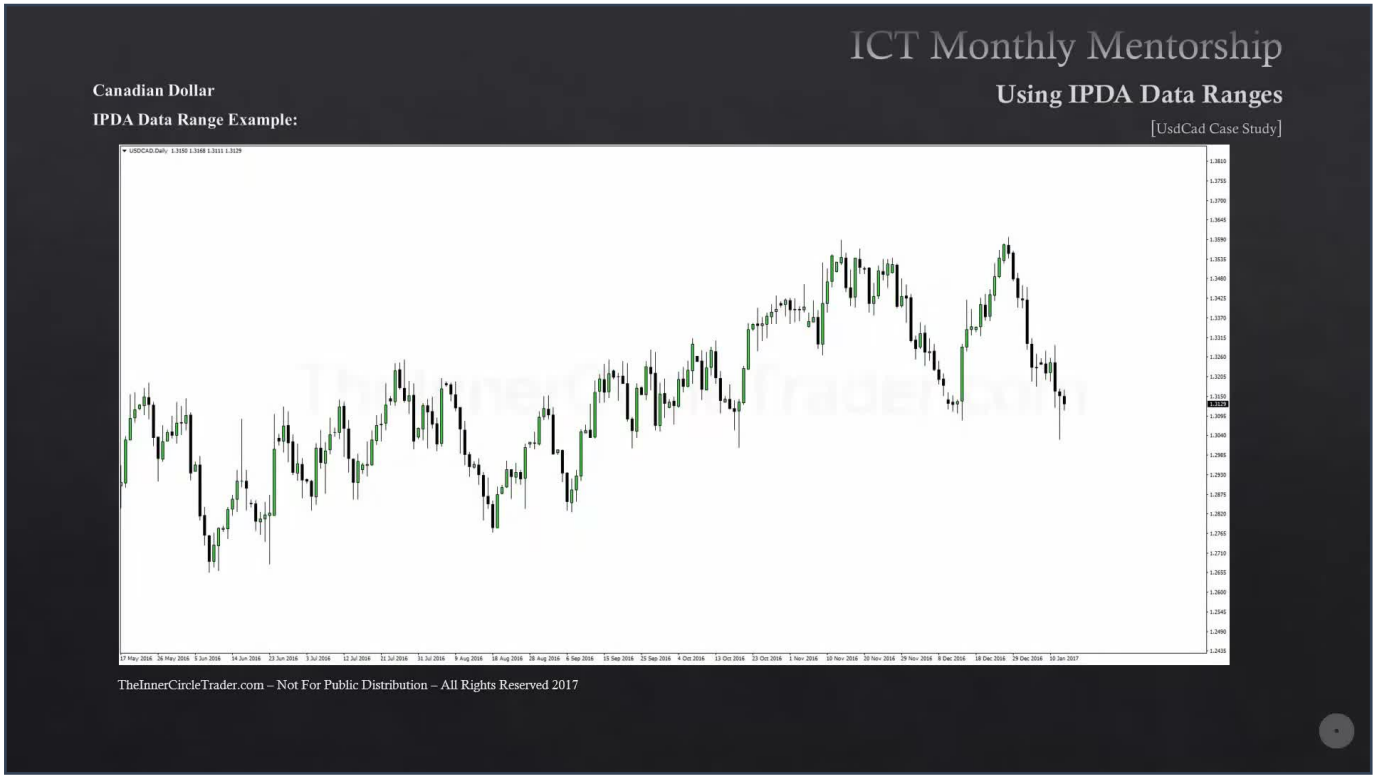
ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 05 - DEFINING OPEN FLOAT LIQUIDITY POOLS



This lesson, 1.4, focuses on defining open float liquidity pools. We will be using the Canadian dollar for this teaching, specifically the Canadian dollar Futures chart, the March delivery contract, and the USD/CAD pair daily chart.



When analyzing price, the goal is to identify liquidity pools for large funds on a higher time frame. These liquidity pools are generally where markets will gravitate, aside from long-term fundamentals. On an intermediate-term basis (about three to four months), the liquidity above old highs or below old lows, considered large funds open float, is typically targeted every quarter.

To identify these liquidity pools, we use a technique called 'open float.'

Open Float Definition:

- Take the last three months of data, or equivalently, the last month and a half to the next month and a half into the future.

- This encapsulates a total of three months (approximately 60 trading days look back and 60 trading days cast forward).

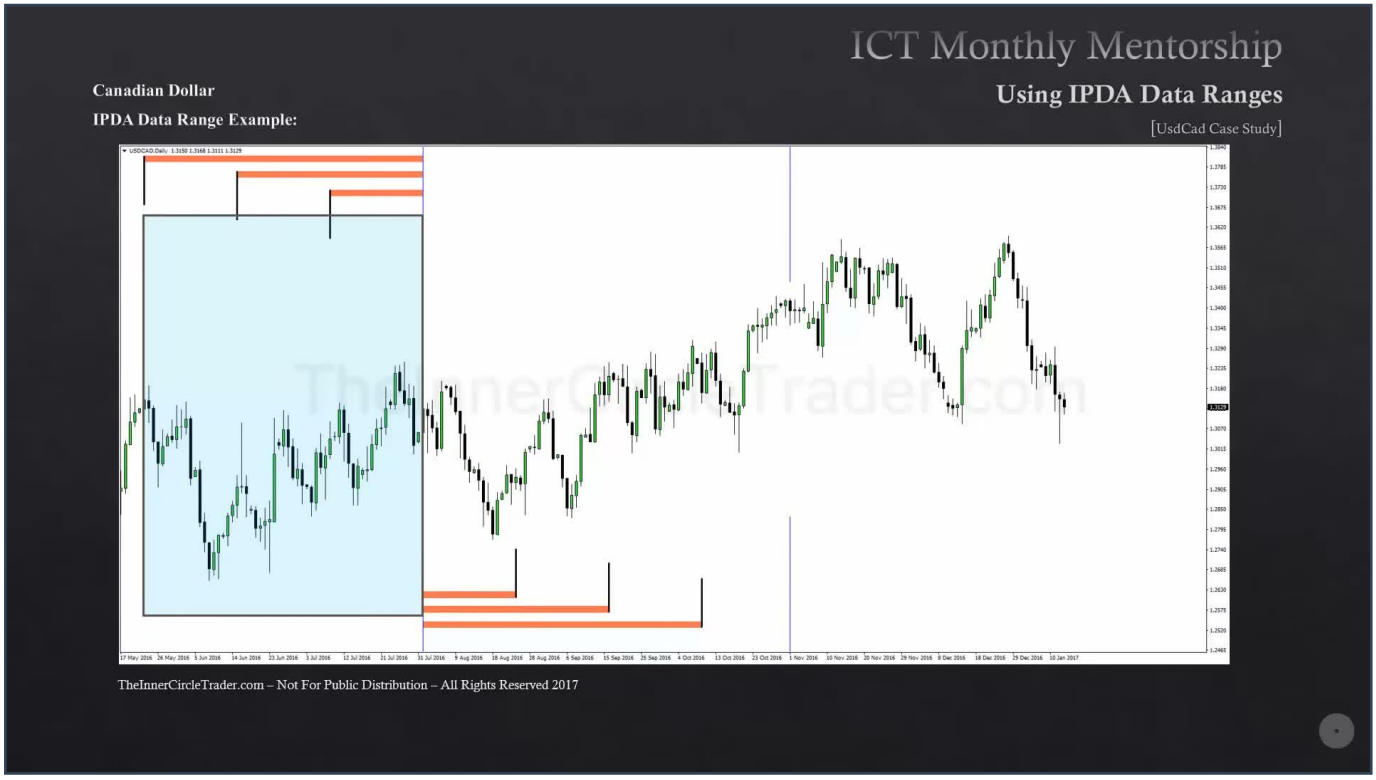
- Within this 120-day range, identify the highest high and the lowest low on the daily chart. These points represent where large funds' liquidity pools (buy stops and sell stops) are located above and below the current market price.

Example (starting August 1st):

- Look back to find the highest high in the last 60, 40, and 20 days prior to August 1st.

- Look forward to identify the highest high and lowest low in the first 20, 40, and 60 trading days to the right (future) of August 1st.

- The highest high and lowest low within the entire 60 days look back and 60 days cast forward range define the open float.



On a near-term basis, looking back at the last 60 trading days, we can identify the highest high and lowest low. When casting forward, these levels often become targets.

Example (August 2016): Highs formed in late July 2016 were eventually traded through in September, indicating the market was drawn to buy stops at those July highs.

Identifying Significant Highs and Lows:

- Look at the last 20 days behind us and 20 days casting forward to anticipate new highs or lows.

- Ideal intervals for identifying obvious buy stops and sell stops are 20, 40, and 60 days.

Specific Intervals for Liquidity Pools:

- Near-term: Highest high and lowest low in the last 20 days.

- Short-term: Highest high and lowest low in the last 40 days.

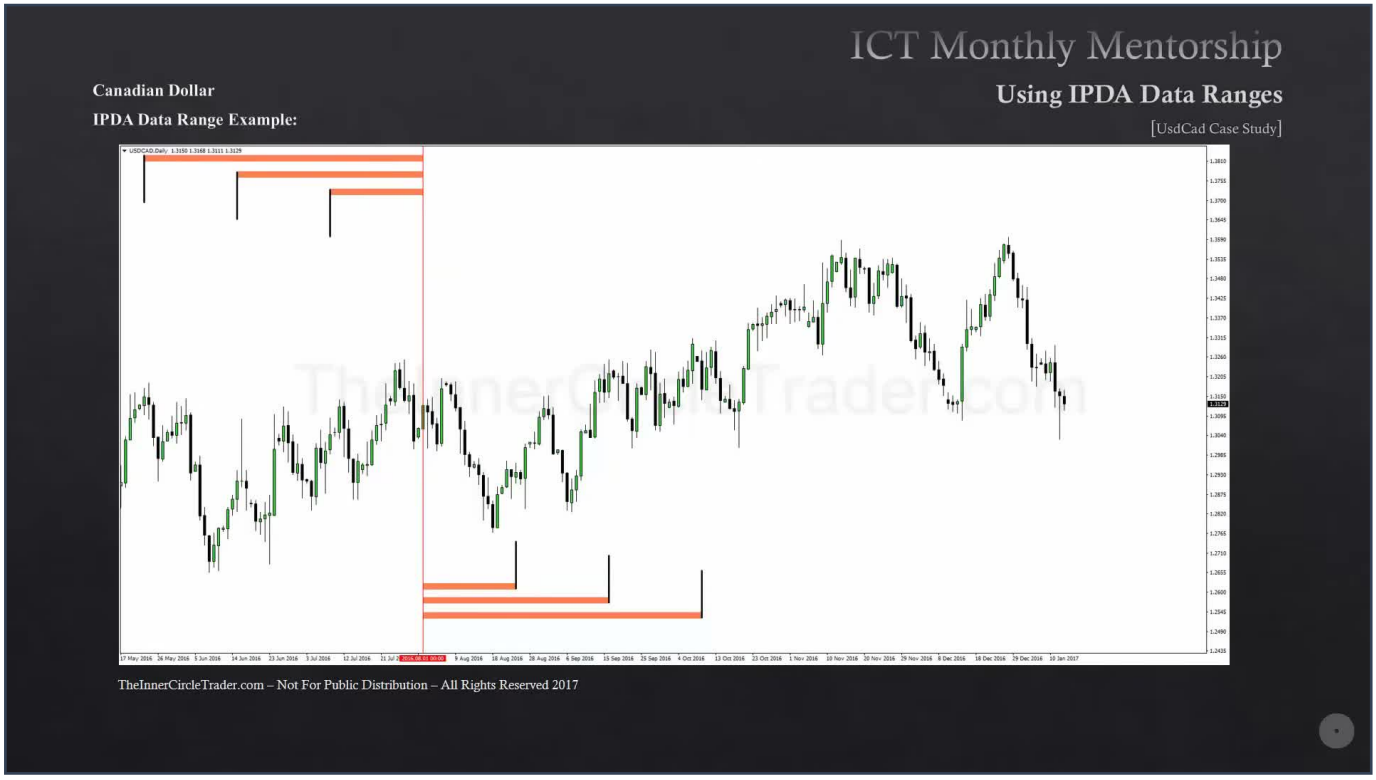
- Intermediate-term: Highest high and lowest low in the last 60 days.

These same intervals can be applied casting forward. For instance, from August 1st, 2016, casting forward 20 trading days, the expected high and low in that range will indicate the easiest near-term liquidity pools for the market to reach.

- 20-day interval: Useful for intraday scalps and day trading, defining near-term liquidity pools.

- 40-day interval: Provides a short-term basis for defining liquidity pools on the daily chart. Buy stops are above the last 40-day high, sell stops are below the last 40-day low.

- 60-day interval (casting forward): Defines the boundary point for open float in terms of time, not price. This brackets the market 60 days forward and 60 days back, creating a 120-trading day open float range. The highest high and lowest low in this 120-day range are key.



The 'Turtle Soup' pattern, a powerful trading concept, involves a false break above an old high or a false break below an old low. This idea stems from the Turtle Traders' system, which focused on long-term trend following.

The Turtle Traders' System:

- Taught by Richard Dennis, it involved buying breakouts above a 20-day high or selling short below a 20-day low for long-term trends.

- Despite many losing trades, their winners were monstrous.

- This is a trend-following system, which is common among large funds in the Forex market due to the link to interest rate markets and fundamental drivers.

The Edge in False Breakouts:

- The breakouts above or below 20-period highs/lows often proved false, providing an edge.

- By observing every 20-day interval (20, 40, 60 days), you can anticipate the next high and low in price, identifying where buy stops and sell stops are located.

Institutional Order Flow Indication:

- If buy stops are consistently hit, and sell stops are rarely hit, it indicates that institutional order flow is bullish, seeking higher prices.

- Conversely, if sell stops are consistently run out, and buy stops are rarely hit, it indicates that institutional order flow is bearish, with banks targeting liquidity below lows.

Applying the open float concept month by month using the 60-day look back and 60-day cast forward periods:

September 2016:

- Lowest low in the last 60 trading days prior to September 1st is identified.

- Highest high in the last 60 days is identified.

- Buy stops above old highs continue to be taken out, confirming bullish institutional order flow.

October 2016:

- The 60-day look back and 60-day cast forward periods define the open float range.

- The highest high in the last 60 days prior to October 1st is noted, along with the lowest low.

- Market repeatedly reaches for buy stops above the marketplace.

- In the first 20 trading days after October, a low forms in the Canadian dollar, taking out previous lows (bodies of candles from late September) before a rejection and higher trade. This signifies an attempt to clear sell-side liquidity.

November 2016:

- The look back period includes 60, 40, and 20 trading days to find the highest high and lowest low.

- The lowest low is seen, and the highest high is seen. Price moves into November, and the high is taken out, reinforcing the bullish institutional order flow.

December 2016:

- Looking back 60 trading days prior to December 1st, the lowest low is identified where sell stops would rest at a large fund level.

- Buy stops are identified above the highest high.

- In the first 20 trading days after December 1st, a low is made, and then price runs up, taking out buy stops above the November high, before ultimately making a run down to a lower low for January, which forms in the first 40 trading days after December 1st, 2016.

APPLYING OPEN FLOAT TO DOLLAR CAD DAILY CHART

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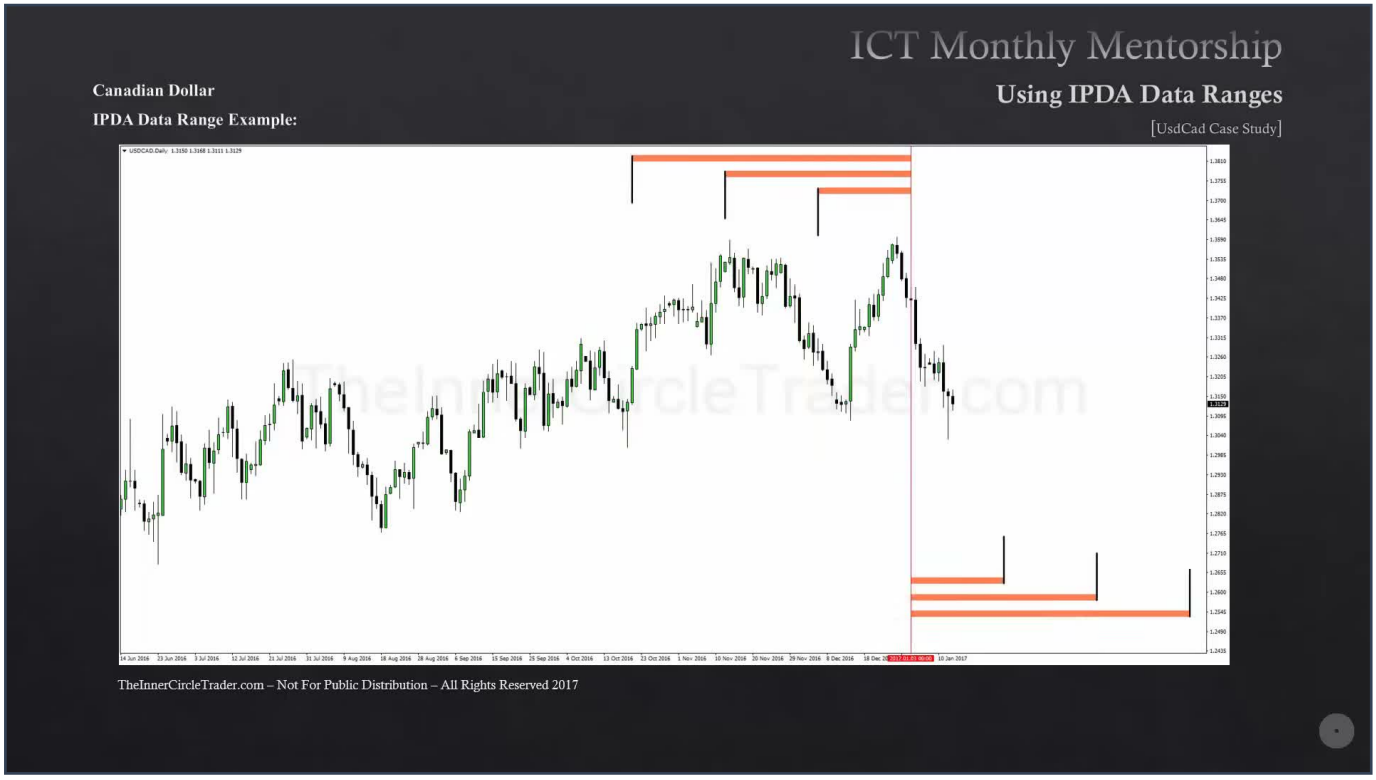


Analyzing the USD/CAD daily chart, applying open float concepts:

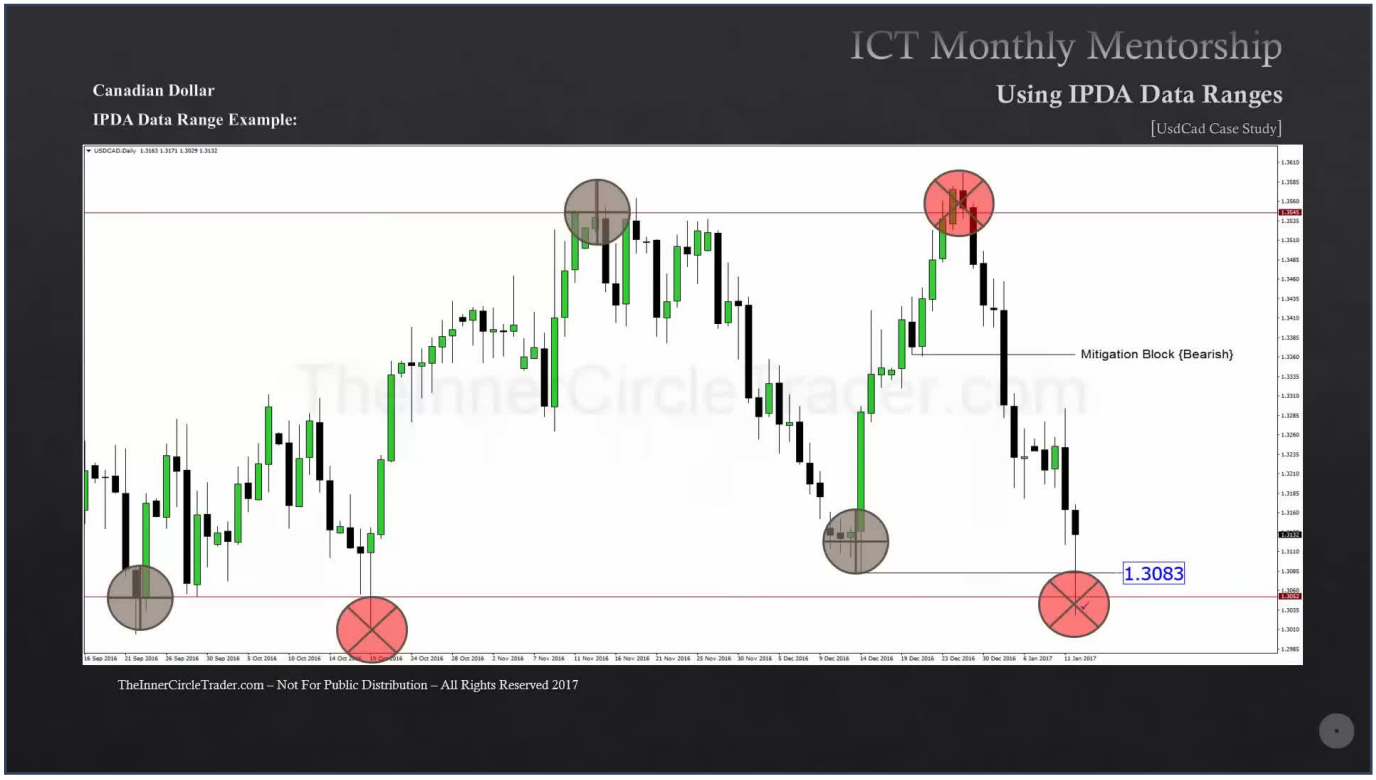
- A wick down below the 1.3050 level followed by a retrace indicates sell stops resting there were taken out, then the market quickly reversed.

- Price advancing trades down to this area, sweeps the sell stops, and then quickly runs away.

- Another instance shows the bodies of candles where buy stops would rest. The market wicks through this area, taking out large fund buy stops, then quickly rejects.

- A low area with bodies of candles indicates where sell stops would be. The market sweeps down to take out this sell-side liquidity.

These false breaks higher and lower are lucrative because large fund traders have buy stops above these levels and sell stops below them. Every 20 trading days, a new liquidity pool forms on both the buy side and sell side. Identify the range based on the most obvious swing high and swing low, then project it forward for the next 20-day intervals (20, 40, 60 days) and look back 60 days to find the total open float.



The 120-day range (60 days back, 60 days forward) for open float, encompassing the highest high and lowest low within it, defines the large fund macro objectives – where they are aiming for buy stops or sell stops.

Monitoring Price Action:

- We do not know future highs or lows; we monitor price as it creates new swing highs and lows.

- Observe if price is making a higher high than the last 60-day highest high, or a lower low than the last 60-day lowest low.

- By continuously moving this 120-day basis forward each month, you can identify institutional order flow by default.

Indicators of Market Direction:

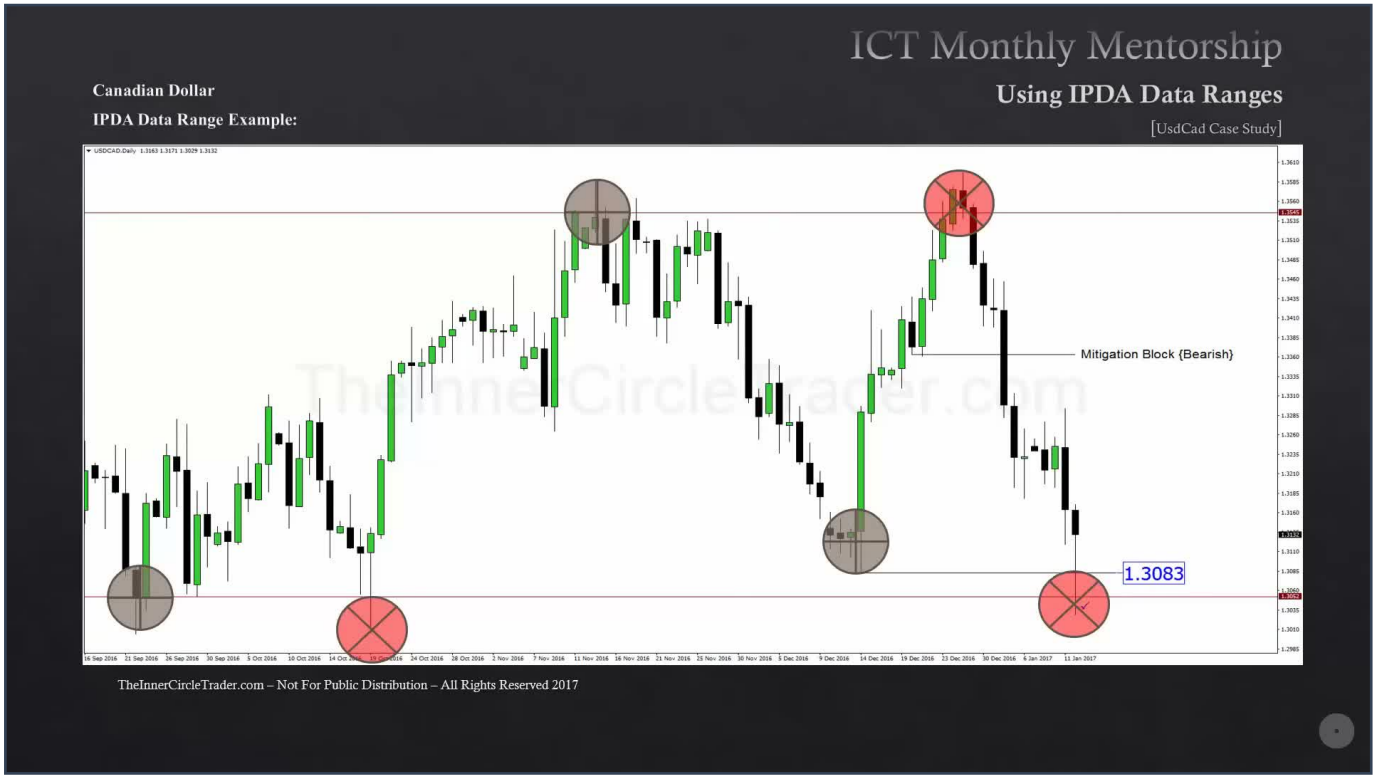
- If buy stops are continuously taken out, and sell stops are rarely taken out, institutional order flow is bullish. Avoid selling short.

- If sell stops are continuously taken out, and buy stops are rarely taken out, institutional order flow is bearish. Focus on being short.

Quarterly Shifts:

- If, in a bullish market, sell stops start getting taken out, it likely indicates a quarterly shift.

- If, in a bearish market (below the last 60-day low, indicating oversold/deep discount), buy stops start getting hit and sell stops are rarely hit, it likely indicates a market structure shift or quarterly shift for a new direction.



Analyzing the Canadian dollar Futures Contract price action, which is inverted from the USD/CAD pair (higher USD/CAD means weaker CAD, stronger USD; lower USD/CAD means stronger CAD, weaker USD):

Futures Market Observations:

- Bodies of candles run out in December, then quickly rejected.

- Bodies of candles made in November are rated in December and quickly rejected.

- Old highs are run out, where buy stops would be resting.

Using Open Interest (OI) for Quarterly Shifts:

- OI, combined with support/resistance on higher time frames, provides clues for institutional moves.

- If the market is trading down to a support level (e.g., 73.80-73.60 for CAD Futures), and OI has already tanked (a 15% decrease is significant), it indicates institutional sponsorship.

- Declining OI signifies that smart money is unwilling to offer sell-side liquidity to buyers. They are 'scaring' individuals by rapidly dropping the market.

- Rapid OI decline when price hits support suggests smart money is not heavily short.

- High OI indicates a large liquidity program offered to buyers, with banks holding risk.

Example (November 2016 CAD Futures):

- The contract rallied from 73.80 to 76.40.

- Price then came back down, running the bodies of candles that formed a low in November 2016.

- Price further came down, clearing sell stops below the 73.80 level (an old low, a liquidity pool).

- This move, on low open interest at a support level, indicated potential strength.

- The subsequent explosive price move from 73.80 to 76.80 (a 300-pip move) was predictable by these evidences.

SUMMARY OF OPEN FLOAT AND TRADING IMPLICATIONS

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Open Float is a continuous, revolving 120-day range:

- Look back 60 days from the current day.

- Look forward 60 days from the current day.

- Constantly monitor the highest high and lowest low within this 120-day range. These are where large fund buy stops and sell stops reside.

The 'look back' phase primarily shows where hard stops (actual buy and sell stops) are above old highs and below old lows.

When looking forward and observing new price action:

- Be mindful of your position relative to the last 60-day range (near a high or a low).

- This indicates where the next quarterly shift might occur.

- Continuous moves higher, taking out buy stops, indicate institutional order flow is bullish (unless it's a parabolic move).

- Markets generally move from range to range.

Key Open Float Intervals:

- Near-term Open Float: Highest high and lowest low in the last 20 trading days. These define the targets for the next near-term move (buy stops/sell stops).

- Short-term Open Float: Highest high and lowest low in the last 40 trading days.

- Intermediate-term Open Float: Highest high and lowest low in the last 60 trading days.

By understanding your position within these ranges and identifying which side of the marketplace is continuously being swept (buy stops or sell stops), you gain clues about the next price shift. When a significant breakdown occurs, it signals a substantial price move. This analysis can be traded purely off the daily chart, without needing lower time frame entries.